# Tenet Healthcare (THC)

**Recommendation.** Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

### The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 2 of the issuers in this run. 4 of 5 groups point the same way as the combination.

| Group | bp a year | Weight | Adds | Call |
|---|---|---|---|---|
| G1. Core process | +22 | 45% | +10 | leans to owning |
| G2 clocks. Two clocks | +183 | 20% | +37 | supports owning |
| G2 rest. Built methods (rest) | +60 | 12% | +7 | leans to owning |
| G3. Credit skills | +0 | 12% | +0 | no objection |
| G4. Books | +169 | 12% | +20 | leans to owning |
| **Combined, before trading costs** | | | **+73** | |
| Trading costs | | | -174 | |
| **Combined, after trading costs** | | | **-101** | |
| Weighted cases and stories alone, after costs | | | -103 | |
| Calibrated: after-cost number x measured slope 0.079 | | | -8 | |

Against the weighted cases and stories alone, the combination is 2 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

**Alpha sizes are uncalibrated.** The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -8 bp a year after costs (-25 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

## G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

**Verdict: leans to owning.** This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +22 bp a year before trading costs (costs are 174 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 45% of the combined view and ranks 5 of the issuers on this group alone. Best alternative for the same money: NCLH.

| Estimate | bp a year | Weight in group | Adds | Where it comes from |
|---|---|---|---|---|
| Default chance the price assumes (shown, weight 0) | +20 | 0% | +0 | F9; mapping C2 |
| Earnings quality, add-backs, FCF check (can only lower) | +0 | 25% | +0 | F3; ebitda-addback-treatment; hy-model-standards |
| Access to new money and the funding gap | +96 | 25% | +24 | F4; RV PDF E75-E76 |
| Debt against market value | -106 | 25% | -27 | F7.7 |
| Return above cash, repriced in every story | +99 | 25% | +25 | RV PDF E50-E60; C1, C3 |

### G1.1 Thesis

The bond pays 123 bp over Treasuries at 5 years. A company with its leverage (3.1x with leases) pays 93 bp on the fair line, so the bond is cheap by 30 bp. The bills outlast the signed contracts (section

G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

### G1.2 The business

1. **What it sells:** Tenet Healthcare Corporation ("Tenet") is a diversified healthcare services company with its headquarters in Dallas, Texas, and a Global Business Center ("GBC") in the Philippines that supports various enterprise-wide administrative functions. We operate our expansive, nationwide care delivery network through direct and indirect subsidiaries, as well as downstream partnerships and joint ventures; the terms "we," "our" and "us," as used in this report and unless otherwise stated or indicated by t
2. **How it earns:** revenue 21.8bn a year at a 20% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** a reimbursement rule change, bad debt, or labour cost inflation.

Business type: A2.

### G1.3 Earnings, normalised

Last 12 months: EBITDA $4.3bn at a 20% margin; margin trend over 8 quarters 1.4 (t-statistic: above 1 rising, below −1 falling). One-off items $0.4bn. Free cash flow $3.0bn: 71% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

### G1.4 Cash, the funding gap, and the refinancing shock

| Item | Value |
|---|---|
| Cash | $2.2bn |
| Unused credit lines (tagged) | $0.0bn |
| Less cash needed to run | $0.1bn |
| Liquidity | $2.1bn |
| Runway at today's cash burn, all capital spending (quarters) | no burn |
| First quarter cash runs out, severe case, maintenance spending only | no shortfall in 8 quarters |
| First quarter cash runs out, severe case, all committed spending | no shortfall in 8 quarters |
| **Runway we quote (the shortest)** | **none in 8 quarters** |
| Debt due in the next 18 months | $0.1bn |
| Cash to meet debt due in a year, base case | 55.10x |
| Refinancing access score, likely story (0 to 6) | 3 |

**Funding gap if no lender refinances.** We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.1bn).

| Measure | Value |
|---|---|
| Lowest point, likely story (maintenance spending only) | $2.6bn |
| First quarter below zero, likely story | none in 8 quarters |
| Lowest point with all capital spending | $2.6bn |
| First quarter below zero with all capital spending | none in 8 quarters |
| Lowest point, severe case | $2.5bn |
| Severe case with all capital spending: first quarter below zero | no gap in 8 quarters |
| Lowest point, weighted over the stories | $2.6bn |
| Debt due inside 8 quarters, share of all debt | 13% |

**Refinancing shock.** $1.7bn falls due in the next two years. It pays about 6.12% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's

spread, yearly interest changes by $0.0bn (0.1% of EBITDA). Interest cover after refinancing: 5.1x; after capital spending 3.9x. Free cash flow after the shock: 22.8% of debt.

### G1.5 Debt: going-concern view

| Measure | Value |
|---|---|
| Debt | $13.2bn |
| Lease liabilities | $0.0bn |
| EBITDA, last 12 months | $4.3bn |
| Debt / EBITDA | 3.1x |
| (Debt + leases) / (EBITDA + rent) | 3.1x |
| Net debt / EBITDA | 2.6x |
| Coverage (after all capital spending) | 3.9x |
| Fixed-charge cover (after maintenance spending) | 4.16x |

| Bond | Coupon | Matures | Price | Yield | Spread (bp) |
|---|---|---|---|---|---|
| 88033GDK3 | 6.12% | 2028-10-01 | 100.1 | 6.07% | 140 |
| 88033GAV2 | 6.88% | 2031-11-15 | 105.0 | 5.75% | 96 |
| 88033GDV9 | 6.00% | 2033-11-15 | 98.8 | 6.21% | 135 |

Claims view (who is paid what in a default): open question until the debt documents are read.

### G1.6 Company value

Market value of the whole company $26bn (shares $15bn plus net debt): 6.1x EBITDA; debt is 51% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

### G1.7 The decision against cash

We put the same money in the bond nearest five years (88033GAV2, 6.88% due 2031-11-15, price 104.98 plus 2.33 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 68% of the price paid.

| Measure | Value |
|---|---|
| Expected return above cash, bp a year | +99 |
| Chance of a loss over six months | 8.7% |
| Chance of doing worse than cash | 9.0% |
| Average loss in the worst 5% of outcomes | 5.8% |
| Same, with rates and the market hedged out, bp a year | +2 |
| Best alternative in this run (worst 5% loss within the 25% budget) | NCLH |
| Return given up against that alternative, bp a year | +348 |

## G2. Built methods: two clocks, stories and cases, relative value, the gate

**Verdict: leans to owning.** This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +60 bp a year before trading costs (costs are 174 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 3 of the issuers on this group alone. Gate: pass.

| Estimate | bp a year | Weight in group | Adds | Where it comes from |
|---|---|---|---|---|
| Spread level: the extra pay over the market (carry) | -45 | 42% | -19 | Spec S14 E0; K15 |
| Weighted cases and stories | +71 | 25% | +18 | M5.4, M7.5 |
| Spread against the fair line | +72 | 17% | +12 | M7.4, M7.5 |
| The pair | +428 | 8% | +36 | M7.4; F10 S4 |
| Health panel | +158 | 8% | +13 | F8 |

### G2.1 The two clocks: bills against what pays for them

**Verdict: supports owning.** This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +183 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 2 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

| Estimate | bp a year | Weight in group | Adds | Where it comes from |
|---|---|---|---|---|
| The two clocks | +183 | 100% | +183 | M4.7 |

Fixed bills total $17.7bn, centred 3.3 years out: leases in force $1.5bn, debt principal $13.3bn, interest $2.9bn. That is 4.2 years of today's EBITDAR; next year's bills take 46% of it.

| Measure | Value |
|---|---|
| Signed contracts (RPO) | $1.7bn |
| Where bills centre / where contract cash centres | year 3.3 / year 1.0 |
| Contracts 99% booked by | year 2 |
| Margin needed for contracts to pay every bill | over 100% (no margin is enough) |
| Company margin (EBITDAR) | 20% |
| Share of bills paid by contracts at that margin | 2% |
| Bills due after the contracts end | $12.8bn (72%) |
| of which debt to refinance | $11.8bn (66%) |
| of which rent and purchases to recontract | $1.0bn (6%) |
| Revenue to sign after the contracts end | 2.9 years of today's revenue |
| Largest running shortfall | $17.4bn |
| Top three customers | n/a |
| Share paid by contracts at a 0.20 margin | 2% |
| Share paid by contracts at a 0.35 margin | 3% |
| Share paid by contracts at a 0.50 margin | 5% |

### G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

| Case | Weight | Growth / qtr | Leverage in 1 yr | Peak leverage | Lowest liquidity | Cash runs out | Refi fails |
|---|---|---|---|---|---|---|---|
| base | 64% | 1.3% | 2.9x | 3.1x | $2.7bn | no | no |
| down moderate | 11% | 0.4% | 3.1x | 3.1x | $2.7bn | no | no |
| down severe | 4% | -0.1% | 3.8x | 4.0x | $2.6bn | no | no |
| upside | 21% | 2.1% | 2.7x | 3.0x | $2.7bn | no | no |

| Story | Chance | Leverage in 1 yr | Peak leverage (down) | Refi fails | Default chance | Expected profit (bp/yr) |
|---|---|---|---|---|---|---|
| soft landing | 86% | 2.9x | 4.0x | 0% | 0.7% | 68 |
| recession | 2% | 3.0x | 4.2x | 0% | 1.7% | 178 |
| higher for longer | 8% | 2.9x | 4.0x | 0% | 0.8% | 81 |
| disinflation rally | 4% | 2.9x | 4.0x | 0% | 0.5% | 52 |
| stagflation | 0% | 3.0x | 4.2x | 0% | 1.7% | 181 |

### G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 123 bp against a fair 93 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733

bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Health Care. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

| Peer group | Excess spread to peers (ESP) | Spread per turn against peers (E13) |
|---|---|---|
| Sector and rating | -14% | -6% |
| Sector only | -74% | -51% |
| Rating only | -14% | -6% |

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 41% of the peer bonds across all sectors, and -26% against sector and rating peers. It has no weight in the score: its edge beyond spread level is small (t 1.3 at 12 months). **Against HCA.** Spreads at 5 years: HCA 68 bp, THC 123 bp.

| Spread per | HCA | THC | Cheaper |
|---|---|---|---|
| turn of leverage | 23 | 40 | THC |

The fair line favours long THC, short HCA: a gap of 51 bp, which halves in about 5 weeks on six months of trades. Under the stories the pair earns soft landing +120, recession +314, higher for longer +143, disinflation rally +93, stagflation +320 bp a year; weighted +125 bp before costs.

### G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 71 bp a year before trading costs, -103 bp after. It does not beat costs. The expected default loss is charged on the price paid: 68% of it in default, not 60% of face.

| Question | Price assumes | Our view | Gap | Noise | Gap bigger than noise? |
|---|---|---|---|---|---|
| Default chance at the v0 price of risk (shown, not tested) | 1.0% | 0.7% | -0.3% | open | not tested |
| Breakeven default probability, 12 months (loss on price) | 1.8% | 0.7% | -1.1% | 0.9% | yes |
| Leverage the spread is pricing | 4.00 | 3.11 | -0.88 | 0.90 | no |
| Spread against fair (bp) | 123 | 93 | -30 | 26 | yes |
| Rating class | open | BBB | open | open | not tested |
| Recovery if default (per 1 of face, discounted for delay) | open | 0.35 | open | open | not tested |

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

### G2.5 Risks and the health panel

| Measure | Value | Band |
|---|---|---|
| Refinancing access score (0 to 6) | 3.00 | amber |
| Earnings-quality flags | 1.00 | amber |
| Coverage | 3.92 | green |
| Fixed-charge cover | 4.16 | green |
| Cash conversion (FCF / EBITDA) | 0.71 | green |
| Free cash flow / debt | 0.23 | green |
| Cash to meet debt due in 1 year (base case) | 55.10 | green |
| Margin trend (t-statistic) | 1.35 | green |
| Weight on the downside cases | 0.15 | green |
| Chance debt due in 1 year is not covered | 0.00 | green |
| Chance cash runs out within 2 years | 0.00 | green |

## G3. Credit skills: the lender's checklists applied to a public bond

**Verdict: no objection.** This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

| Estimate | bp a year | Weight in group | Adds | Where it comes from |
|---|---|---|---|---|
| Watchlist tier (can only lower) | +0 | 100% | +0 | borrower-monitoring; covenant-compliance |

### G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $4.8bn. The company's own measure adds back $-0.4bn of one-off items to reach $4.3bn: -8.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.0bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.0bn) differ by 1% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

### G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

### G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: n/a (no plan is public, so last year stands in for it).

| Measure | Direction | How much weight | Change on a year earlier, last quarter |
|---|---|---|---|
| revenue | improving | trend | 6.8% |
| EBITDA | open | no data | n/a |
| EBITDA margin | open | no data | n/a |
| cash conversion | open | no data | n/a |

One quarter is an observation, two a data point, three or four a trend.

### G3.4 Memo structure check

| Section | Requires | Status |
|---|---|---|
| Executive summary | the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks | pass |
| Capital structure | each tranche with face, coupon, maturity; senior, total and net leverage; LTV | open |
| Terms | maintenance covenant levels and test dates; incurrence baskets; call terms | open |
| Investment merits | free cash flow generation and the base-case deleveraging path | pass |
| Key risks | 3 to 5 issuer-specific risks, each with a mitigant | open |
| Historical financials | at least 3 years, quarterly where available | pass |
| EBITDA adjustments | reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag | open |
| Model output | base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway | open |

**Rules that do not transfer to a public bond:**

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

## G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

**Verdict: leans to owning.** This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor. Its estimate of expected profit is +169 bp a year before trading costs (costs are 174 bp a year); 2 of 2 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 1 of the issuers on this group alone. S&P anchor class: BBB.

| Estimate | bp a year | Weight in group | Adds | Where it comes from |
|---|---|---|---|---|
| Spread against the S&P risk score | +133 | 50% | +66 | Ganguin and Bilardello ch. 10 |
| Spread per turn of leverage (with the trap guard) | +205 | 50% | +102 | Kricheff ch. 21 |

### G4.1 Kricheff's cash-flow bridge and ratio set

| Line (last 12 months) | Value |
|---|---|
| Adjusted EBITDA | $4.3bn |
| less capital spending | $1.0bn |
| less cash interest | $0.8bn |
| less cash taxes | $0.5bn |
| less increase in working capital | $-1.1bn |
| **Free cash flow** | **$3.0bn** |
| Check: free cash flow before capital spending less operating cash flow | $-0.0bn |
| Free cash flow after dividends | open (dividends not loaded) |

| Ratio | Value | Ratio | Value |
|---|---|---|---|
| EBITDA / cash interest | 5.1x | Debt / EBITDA | 3.1x |
| (EBITDA − capex) / interest | 3.9x | Net debt / EBITDA | 2.6x |
| (EBITDA − maintenance capex) / interest | 4.2x | Free cash flow / debt | 23.0% |
| EBITDA / debt (highest rate at 1x cover) | 32.0% | Market value / EBITDA | 6.2x |
| Equity cushion (1 − debt / market value) | 49% | Spread per turn of leverage | 40 bp |

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

### G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

| Ratio | Value | Score | BB median | B median |
|---|---|---|---|---|
| Debt / (debt + market value of equity) | 47% | 5.6 | 57.5% | 78.5% |
| Funds from operations / debt | 22% | 7.1 | 19.5% | 10.8% |
| Free operating cash flow / debt | 23% | 3.6 | 8.5% | 2.5% |
| EBITDA / interest (with lease interest) | 5.1x | 5.8 | 3.2x | 1.8x |
| EBITDA margin | 20% | 5.0 | | |

Financial risk score 5.5. Business risk score 4.0: industry 4, steadiness of sales 3 (year-on-year growth varies by 4.8%), customer spread 5. The book puts 55% of the weight on business risk for this class, so the default risk score is 4.7: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

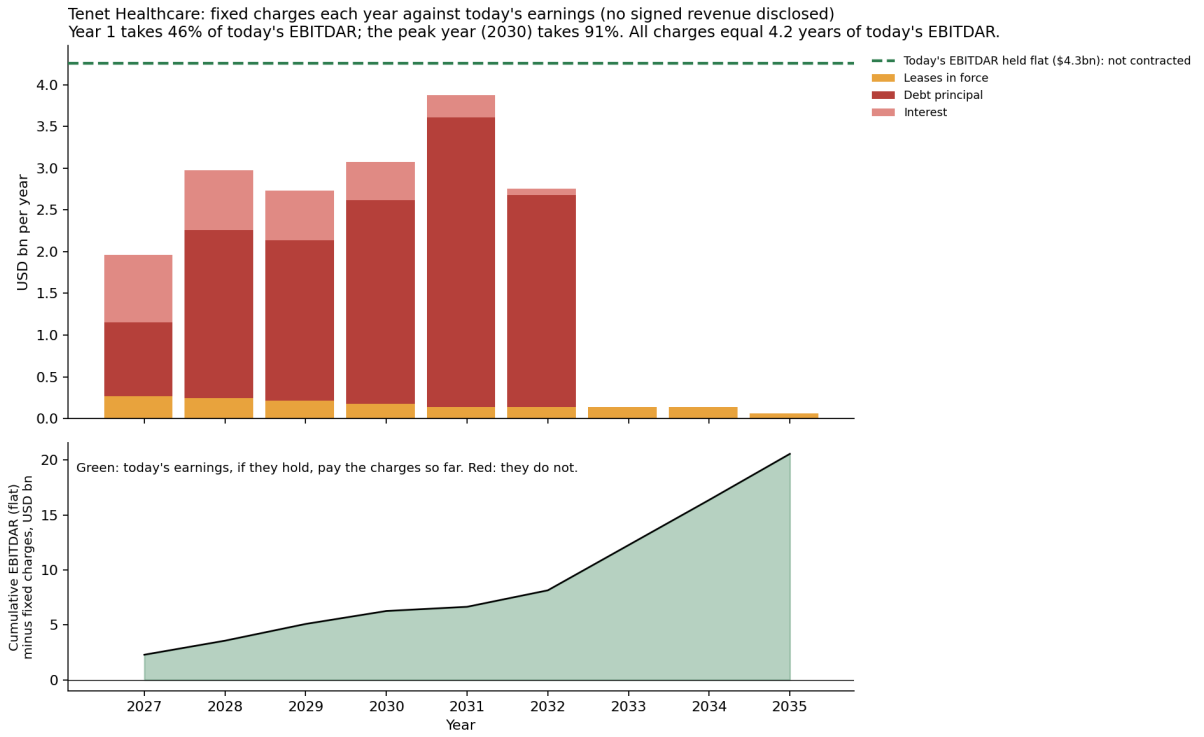
## Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-28 (estimate).
- Debt due by 1.0 years out: - $0.1bn.

**Open questions, most important first:**

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

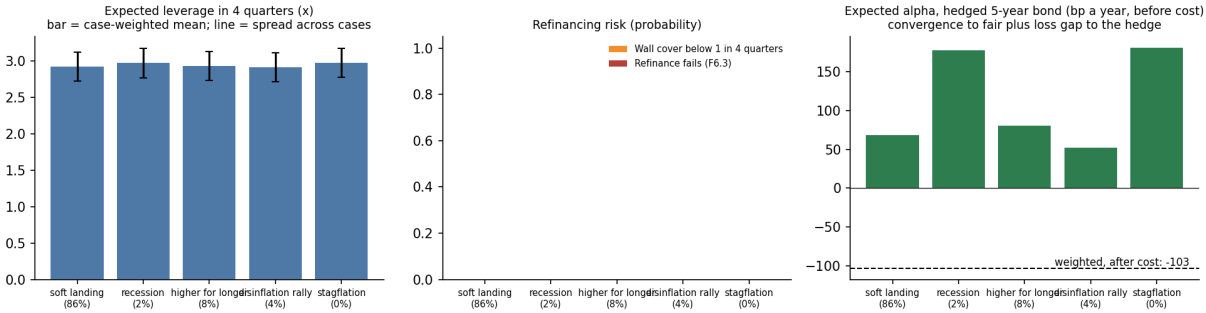
**Record (filled at exit):** exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.




Source: Tenet Healthcare SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

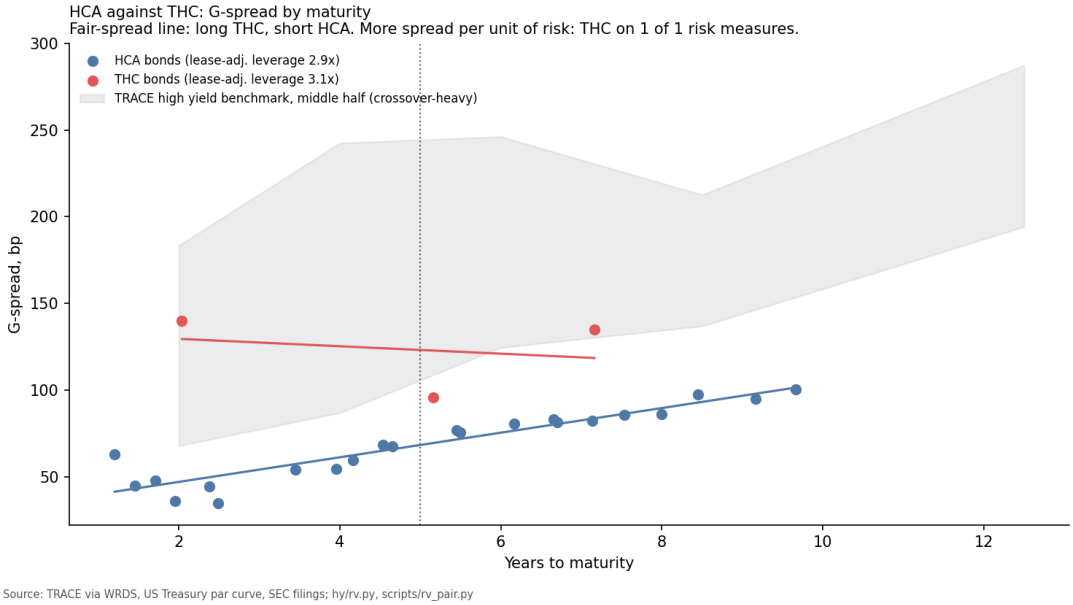
The two clocks (section G2.1).

Tenet Healthcare (THC) under each macro path; archetype A2, phase expansion




Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).




The pair (section G2.3).